MACROECONOMICS

MACRO-50

Time: 5 minutes | **Outcome:** Explain vertical LRAS and changes in the economy's productive capacity. | **Difficulty:** ●●○ Intermediate

Long-Run Aggregate Supply and Potential Output

THE CORE IDEA

Long-run aggregate supply is vertical at potential output, the sustainable output level associated with normal resource use and the natural rate of unemployment. In the long run, the price level does not determine real productive capacity. Labor, physical and human capital, natural resources, institutions, and technology or productivity determine LRAS.

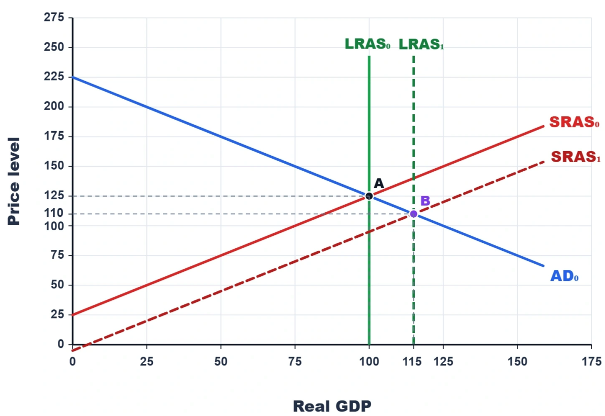
HOW TO RECOGNIZE IT

- A current-output change is not automatically a change in potential output.
- More labor, capital, resources, or productivity shifts LRAS right.
- Loss of productive resources or persistent lower productivity can shift LRAS left.
- A vertical LRAS means higher prices alone do not create more long-run real output.

WATCH OUT

Do not shift LRAS because aggregate demand changes. Demand can move actual output away from potential in the short run; productive-capacity changes move the LRAS line.

WORKED EXAMPLE: PRODUCTIVITY EXPANDS CAPACITY



A lasting productivity improvement shifts LRAS from 100 to 115. The graph also shows SRAS shifting right/down. With AD0 unchanged, long-run equilibrium moves from A to B: potential output rises to 115 and the price level falls from 125 to 110. The key LRAS result is higher sustainable real GDP.

CHECK YOURSELF

A recession lowers actual output but leaves labor, capital, and technology unchanged. Does LRAS shift?

READY? Return to the game and master this concept.